

2.1 : The Permanent Income Model

The Deterministic Case

The Euler equation defines the *structural form* of the model, but this is not the solution.

Definition : The solution of any dynamic model expresses the control variable(s) as a function of the state variable(s) and the exogenous variable(s).

In our case, the solution for the consumption will be of the following linear form

$$C_t = \phi_1 A_t + \sum_{i=0}^{\infty} \phi_{2i} Y_{t+i}$$

where the parameters ϕ_1 and ϕ_2 are determined by the model's properties and a function of the structural parameters (see our computations below).